

Management Discussion and Analysis

For the 4th quarter and 12-month period ended 31 December 2017

(Unaudited financial statements)

TMB Bank Public Company Limited

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Management Discussion and Analysis

Executive summary: Economic review & outlook

Thai economy in 4Q17: Thai economy continually expanded supported by every economic engine especially merchandise exports that were uplifted from global trade recovery and well-performing trading partners' economies. Strong export growth of 10.3% is expected in 2017. Also, tourism sector robustly expanded, reflected from an increasing number of international tourist arrivals in almost every nationality especially Chinese. Meanwhile, level of domestic economic activities gradually increased, though not accelerating. Consumption and investment of private sector steadily expanded consistent with the improving consumer confidence and business sentiment. The continual expansion could help offset the slow disbursement of public investment in this quarter. All in all, economic drivers continued to improve particularly merchandise exports, resulting in an expected economic growth at the rate 4.0% which is higher than the previous forecast of 3.5%.

Financial market & banking industry: The policy rate was held at 1.50% as the current level of the policy rate was appropriate for economic recovery. Thai baht was averaged at 32.94 THB/USD, appreciated by 1.3% from 33.37 THB/USD in 3Q/17 due to high current account surplus and weak dollar. At the end of November 2017, total loan growth from commercial banks accelerated to 3.2% compared to the same period last year (YoY) and grew by 2.5% from the end of year 2016 (YTD). Speeding up of loan growth was contributed by business loan which reflected the recovery of investment by large corporates. Meanwhile, retail loan growth remained low even with the support from the expiry of five-year ownership lock-up period from first-time car buyer scheme. Deposits expanded at 4.1% (YoY) or 4.0% (YTD). This was from an increase in fixed deposit after 2 years of contraction, while growth of saving deposit remained high.

Economic outlook for 2017: Thai economy is expected to grow at rate 4.2%, consistent with robust global economic expansion and strong growth momentum from last year. A robust global economy will support Thai merchandise exports to grow by 4.8% annually together with the tourism sector to continue rising. Other economic growth contributors are also anticipated to perform better especially private investment which will be backed by vigorous export expansion and investment by public sector. Increase in money injection from public investment is expected due to historically large government capital budget as well as mega project investment to support Eastern Economic Corridor (EEC) amounting to more than 1 trillion baht. Regarding financial market, Thai policy rate is expected to increase to 2% at the end of year 2018. Thai baht will continue to appreciate in line with robust Thai economy and foreign capital inflows into the region. Thai baht is forecasted to move in the range of 31.50-32.50 baht per US dollar. Moreover, due to an anticipated growth of large corporate loans as a result from public investment projects and increasing trend in production capacity expansion, commercial banks are expected to perform well with improving credit quality outlook.

Research by **TMB Analytics**
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Summary of TMB's operating performance

2017 financial result reflected TMB's business improvement and prudent operation. In 2017, the Bank continued to grow loan and deposit by expanding retail base. Core operating performance was on positive momentum, reflected by a 5.7% YoY growth of PPOP to THB19,736 million. Improving earning capability also allowed TMB to set higher provision for prudence and wrote off NPLs to limit downside risks. As a result, NPL ratio dropped to 2.35% while coverage ratio remained high at 143%. After provision, net profit was recorded at THB8,687 million, a 5.6% increase from last year.

Loan growth was led by retail mortgage: In 2017, the Bank managed to grow performing loan by 8.7% YTD to THB626 billion, driven mainly by a robust growth in retail mortgage (+30.4% YTD) and followed by corporate loan (+9.8% YTD). SME loan, however, was still stagnant (-3.4% YTD) but saw recovery signs in 4Q17 (+0.9% QoQ).

Retail base and transactional deposit grew on track: Total deposit expanded 2.1% YTD to THB611 billion in 2017, in line with the Bank's liquidity management. Throughout the year, TMB focused more on acquiring retail and transactional deposit base. Overall, it was on track, with retail deposit growth of 5.0% and transactional deposit growth 3.7% YTD. As of Dec-17, retail deposit was 70% and transactional deposit was 40% of total deposit.

Non-NII grew well from strong retail fees while NII was flat: Despite a moderate loan growth, NII was flat at THB24,734 million as NIM declined slightly by 4bps to 3.13% in 2017. The decline in NIM was due to a shift in loan mix toward mortgage and a slowdown in SME loan. Non-NII, on the other hand, posted a 21.4% growth YoY to THB12,705 million. Key driver was net fee and service income (+32.4% YoY), especially retail fees from mutual fund (+76.0% YoY) and bancassurance (+70.8% YoY).

With revenue growth and operating efficiency, PPOP rose further: Operating efficiency improvement was one of the Bank's key focuses. In 2017, operating expenses rose in line with business expansion. PPOP therefore remained strong at THB19,736 million, a 5.7% YoY growth. Growing PPOP also allowed the Bank to strengthen its loan loss absorption by providing THB8,915 million of provision in 2017, a 3.1% increase from previous year.

NPL ratio dropped to 2.35% and coverage ratio remained strong at 143%: To limit downside risks and keep balance sheet clean, the Bank proactively wrote off NPLs as the pace of natural NPL resolution remained slow in 2017. As a result, NPLs dropped further to THB17.5 billion and NPL ratio reduced to 2.35% while coverage ratio remained high at 143%. This reflected the Bank's prudent operation and NPL management.

After provision, TMB reported THB THB8,687 million of net profit. The figure grew 5.6% YoY and represented a return on equity (ROE) of 10.0%

Discussion of operating performance

Figure 1: **Selected Statement of Comprehensive Income** (**Consolidated**)

(THB million)	4Q17	3Q17	% QoQ	4Q16	% YoY	12M17	12M16	% YoY
Interest income	8,713	8,753	-0.5%	8,777	-0.7%	34,713	35,631	-2.6%
Interest expenses	2,529	2,561	-1.2%	2,386	6.0%	9,979	10,870	-8.2%
Net interest income	**6,184**	**6,193**	**-0.1%**	**6,391**	**-3.2%**	**24,734**	**24,761**	**-0.1%**
Fees and service income	3,824	3,539	8.1%	2,810	36.1%	13,533	10,168	33.1%
Fees and service expenses	891	748	19.1%	605	47.3%	2,947	2,171	35.8%
Net fees and service income	**2,933**	**2,791**	**5.1%**	**2,205**	**33.0%**	**10,586**	**7,997**	**32.4%**
Other operating income	540	392	37.7%	739	-26.9%	2,119	2,465	-14.0%
Non-interest income	**3,474**	**3,184**	**9.1%**	**2,944**	**18.0%**	**12,705**	**10,462**	**21.4%**
Total operating income	**9,657**	**9,376**	**3.0%**	**9,335**	**3.5%**	**37,439**	**35,223**	**6.3%**
Total other operating expenses	**4,877**	**4,446**	**9.7%**	**4,515**	**8.0%**	**17,792**	**16,589**	**7.3%**
Impairment loss on loans and debt securities	2,001	2,391	-16.3%	2,234	-10.4%	8,915	8,649	3.1%
Profit before income tax expense	**2,780**	**2,539**	**9.5%**	**2,586**	**7.5%**	**10,732**	**9,984**	**7.5%**
Income tax expense	517	521	-0.8%	441	17.3%	2,004	1,740	15.2%
Profit for the period	**2,262**	**2,018**	**12.1%**	**2,145**	**5.5%**	**8,728**	**8,244**	**5.9%**
Profit to non-controlling interest of subsidiaries	**5**	**14**	**-65.2%**	**6**	**-23.5%**	**41**	**18**	**126.1%**
Profit to equity holders of the Bank	**2,257**	**2,003**	**12.7%**	**2,138**	**5.6%**	**8,687**	**8,226**	**5.6%**
Other comprehensive income	(8)	(40)	N/A	(61)	N/A	164	1,596	-89.7%
Total comprehensive income	**2,254**	**1,978**	**14.0%**	**2,084**	**8.2%**	**8,892**	**9,841**	**-9.6%**
Basic earnings per share (THB/share)	**0.0515**	**0.0457**	**12.7%**	**0.0489**	**5.3%**	**0.1982**	**0.1879**	**5.5%**

Note: Consolidated financial statement

Net interest income (NII) and Net interest margin (NIM)

For the 4th quarter of 2017**:** TMB recorded THB6,184 million of net interest income (NII) in 4Q17, relatively stable compared to previous quarter (QoQ) and declined by 3.2% from the same period last year (YoY). Details are as follows:

- Interest income decreased marginally by 0.5% QoQ and 0.7% YoY to THB8,713 million. The reduction was mainly due to lower yield on earning asset.
- Interest expense also declined by 1.2% QoQ but increased 6.0% YoY to THB2,529 million.

For the year ended 2017**:** TMB generated NII of THB24,734 million, stayed relatively flat from the same period last year, mainly owing to well-managed funding cost as the Bank continued to optimize deposit structure while loan grew moderately.

- Interest income dropped by 2.6% YoY to THB34,713 million from THB35,631 million. The decrease was essentially because of lower yield on earning assets, despite moderate loan growth.
- Funding cost was well-managed. Interest expenses therefore dropped by 8.2% YoY to THB9,979 million from THB10,870 million in 2016.

NIM stood at 3.04% in 4Q17 and 3.13% in 12M17, in line with target

NIM was at 3.04% in 4Q17 which declined by 7 bps QoQ from 3.11% in 3Q17. For 12M17, NIM slightly dropped by 4 bps to 3.13%, still in line with target. The YoY drop was due primarily to a shift in loan portfolio toward mortgage and a slowdown in high yield segment of SME which resulted in lower earning asset yield. It was also due partly to interest rate cuts during the year. However, well-managed funding cost helped reduce the impact of lower yield.

Figure 2: **Net interest income** (**NII**)

(THB million)	4Q17	3Q17	% QoQ	4Q16	% YoY	12M17	12M16	% YoY
Interest income	**8,713**	**8,753**	**-0.5%**	**8,777**	**-0.7%**	**34,713**	**35,631**	**-2.6%**
Interest on interbank and money market items	500	482	3.7%	403	23.9%	1,824	1,746	4.5%
Investments and trading transactions	6	8	-22.2%	66	-91.1%	61	267	-77.2%
Investments in debt securities	281	298	-5.6%	289	-2.8%	1,214	1,370	-11.4%
Interest on loans	7,923	7,961	-0.5%	7,995	-0.9%	31,580	32,086	-1.6%
Others	3	5	-41.4%	24	-86.5%	35	164	-78.6%
Interest expenses	**2,529**	**2,561**	**-1.2%**	**2,386**	**6.0%**	**9,979**	**10,870**	**-8.2%**
Interest on deposits	1,295	1,303	-0.6%	1,174	10.3%	4,990	6,134	-18.7%
Interest on interbank and money market items	201	207	-3.0%	121	66.4%	744	336	121.2%
Contributions to the Deposit Protection Agency	711	723	-1.5%	705	1.0%	2,842	2,954	-3.8%
Interest on debt issued and borrowings	313	322	-2.8%	382	-18.1%	1,378	1,427	-3.4%
Borrowing fee	5	5	0.2%	5	4.6%	20	17	18.1%
Others	4	2	150.3%	0	N/A	6	3	117.0%
Net interest income (NII)	**6,184**	**6,193**	**-0.1%**	**6,391**	**-3.2%**	**24,734**	**24,761**	**-0.1%**

Note: Consolidated financial statements

Non-interest income (Non-NII)

Growth in fees and service income was a key contributor to non-interest income

For the 4th quarter of 2017**:** The Bank posted THB3,474 million of non-interest income in 4Q17, an increase of 9.1% QoQ and 18.0% YoY. Details were as follows;

- Net fees and service income was reported at THB2,933 million, an increase of 5.1% QoQ and 33.0% YoY. Such increase was largely contributed by fees from mutual fund and bancassurance sales. Commercial fees continued to pick-up QoQ driven by credit-related fees, LG and trade finance.
- Gain on trading and FX transaction was THB313 million, rose by 25.0% QoQ but dropped 45.6% YoY.

For the year ended 2017**:** Non-interest income was THB12,705 million, an increase of 21.4% compared with the same period last year. It was strongly attributed to an increase in net fees and service income. Key items were as follows;

- Net fees and service income was THB10,586 million, grew robustly by 32.4% YoY. This increase was primarily due to 1) growth of retail fees from bancassurance and mutual fund sales and 2) access fee from the renewal of life bancassurance collaboration of TMB and FWD. offsetting a decrease in credit related fee.
- Gain on trading and foreign exchange transactions was THB1,147 million, declined by 32.2% YoY.

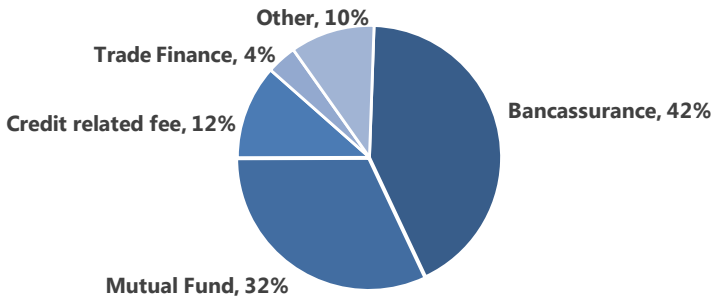
Figure 3: **Non-interest income (Non-NII)**

Non-interest income

(THB million)	4Q17	3Q17	% QoQ	4Q16	% YoY	12M17	12M16	% YoY
Fees and service income	**3,824**	**3,539**	**8.1%**	**2,810**	**36.1%**	**13,533**	**10,168**	**33.1%**
Acceptances, aval and guarantees	154	148	4.0%	156	-1.6%	568	575	-1.3%
Other fee and service income	3,670	3,391	8.2%	2,653	38.3%	12,965	9,593	35.2%
Fees and service expenses	**891**	**748**	**19.1%**	**605**	**47.3%**	**2,947**	**2,171**	**35.8%**
Net fees and service income	**2,933**	**2,791**	**5.1%**	**2,205**	**33.0%**	**10,586**	**7,997**	**32.4%**
Gains (losses) on tradings and foreign exchange transactions	313	251	25.0%	576	-45.6%	1,147	1,691	-32.2%
Gains (losses) on financial instrument designated at fair value	(1)	(7)	N/A	9	-110.1%	(24)	(13)	N/A
Gains (losses) on investments	7	8	-11.5%	14	-45.7%	64	201	-68.0%
Gains on sale of assets	40	3	N/A	20	101.0%	209	115	82.1%
Dividend income	4	3	36.4%	6	-35.3%	32	62	-48.1%
Others	177	135	30.6%	115	54.1%	691	408	69.2%
Non-interest income	**3,474**	**3,184**	**9.1%**	**2,944**	**18.0%**	**12,705**	**10,462**	**21.4%**

Note: Consolidated financial statements

Figure 4: **Net fees and service income breakdown**



Note: Bank-only financial statements, Prelim data

Non-interest expenses

For the 4th quarter of 2017**:** The Bank recorded THB4,877 million of total non-interest expenses, an increase of 9.7% QoQ and 8.0% YoY. Key items are as follows;

- Personnel expenses increased by 18.4% QoQ and 9.7% YoY to THB2,323 million mainly due to HR cost related to customer acquisition activities.
- Premises and equipment expenses rose by 3.1% QoQ and 4.1% YoY to THB876 million.
- Other expenses increased by 16.8% QoQ and 15.2% YoY to THB1,357 million, due primarily to higher marketing in the last quarter of the year.

For the year ended 2017**:** Non-interest expenses amounted to THB17,792 million, an increase of 7.3% YoY from the same period last year. Key factors are;

- Personnel expenses rose by 4.8% YoY to THB8,511 million, mainly resulted in higher incentives from growing business volume.
- Premises and equipment expenses increased by 7.4% YoY to THB3,384 million, mainly from rental expense and depreciation.
- Other expenses increased by 16.0% YoY to THB4,482 million which largely came from higher marketing, collection expenses and computer software rental.

Figure 5: **Non-interest expenses**

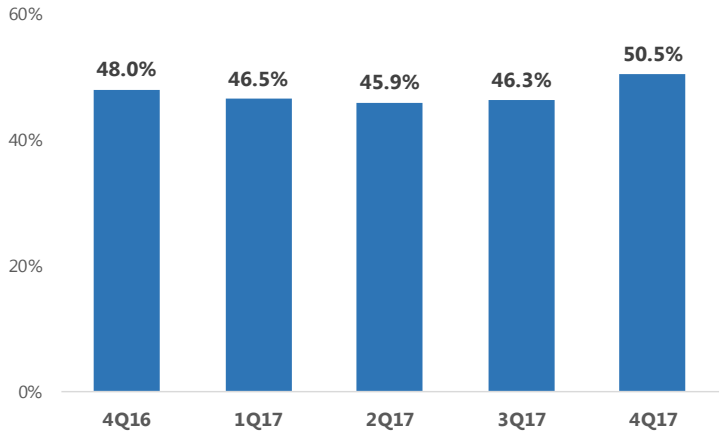
(THB million)	4Q17	3Q17	% QoQ	4Q16	% YoY	12M17	12M16	% YoY
Employee expenses	2,323	1,962	18.4%	2,117	9.7%	8,511	8,118	4.8%
Directors' remuneration	8	8	1.4%	8	9.0%	45	41	8.8%
Premises and equipment expenses	876	849	3.1%	841	4.1%	3,384	3,150	7.4%
Taxes and duties	313	313	0.1%	317	-1.2%	1,250	1,273	-1.8%
Loss on impairment of properties foreclosed	7	102	-93.1%	8	-11.9%	114	(4)	N/A
Loss on diminution in value of other assets	74	47	55.3%	(1)	N/A	172	(9)	N/A
Provisions for other liabilities (reversal)	(81)	3	N/A	48	-270.9%	(166)	154	-207.9%
Other expenses	1,357	1,162	16.8%	1,178	15.2%	4,482	3,865	16.0%
Non-interest expenses	**4,877**	**4,446**	**9.7%**	**4,515**	**8.0%**	**17,792**	**16,589**	**7.3%**

Note: Consolidated financial statements

Cost to income ratio was at 50.5% in 4Q17 and 47.3% in 12M17, still in line with plan

Cost to income ratio was at 50.5% in 4Q17, compared to 46.3% in 3Q17. The increase QoQ was mainly from higher HR expense and marketing cost, in line with business expansion. For 12M17, cost to income ratio stood at 47.3%. TMB will continue to enhance operational efficiency to reduce cost to income ratio further.

Figure 6: **Cost to income ratio**



Note: Consolidated financial statements

Operating profit and provision

Pre-provision operating profit (PPOP): PPOP in 4Q17 was reported at THB4,789 million, dropped by 5.1% QoQ and slight declined by 0.9% YoY. For the 12-month period, the Bank posted THB19,736 million of PPOP which grew by 5.7% YoY when compared with the same period last year.

THB2,001 was set for 4Q17 provision and THB8,915 million in total for 12M17

Impairment loss on loans and debt securities: TMB remained prudent in its operation and set aside THB2,001 million of provision in 4Q17, dropped by 16.3% QoQ while 12M17 provision rose to THB8,915 million or increased by 3.1% YoY, compare to THB8,649 million in the same period last year.

Coverage ratio remained high at 143%.

At the end of December 2017, the coverage ratio therefore remained strong at 143% on both consolidated and bank-only basis.

Net profit to equity holders of the Bank: After the provision and tax, net profit in 4Q17 was recorded at THB2,257 million which grew by 12.7% QoQ and 5.6% YoY respectively. For 12M17, net profit was THB8,687 million increased 5.6% YoY and represented an ROE of 10.0%.

Discussion of financial position

Figure 7: Consolidated financial position

Unit: THB million	Dec-17	Sep-17	%QoQ	Dec-16	%YTD
Cash	17,872	14,318	24.8%	16,531	8.1%
Interbank and money market items, net	112,534	130,253	-13.6%	113,858	-1.2%
Derivative assets	8,674	8,583	1.1%	10,460	-17.1%
Investments	61,305	60,322	1.6%	62,985	-2.7%
Loans to customers (Less deferred revenue)	643,373	619,092	3.9%	593,441	8.4%
Accrued interest receivables	969	975	-0.6%	915	5.9%
Less allowance for doubtful accounts & Revaluation allowance for debt restructuring	24,969	25,395	-1.7%	25,088	-0.5%
Loans and Allowance - net	**619,373**	**594,672**	**4.2%**	**569,268**	**8.8%**
Properties for sale, net	2,214	2,090	5.9%	1,506	47.0%
Premises and equipment, net	12,071	11,693	3.2%	12,383	-2.5%
Goodwill and other intangible assets, net	2,132	1,894	12.6%	1,704	25.1%
Deferred tax assets	683	498	37.1%	775	-11.9%
Other receivables - net	1,690	1,115	51.6%	2,262	-25.3%
Other assets	5,325	5,276	0.9%	5,584	-4.6%
Total Assets	**843,872**	**830,714**	**1.6%**	**797,316**	**5.8%**
Deposits	611,430	607,313	0.7%	598,948	2.1%
Interbank and money market items	60,349	55,483	8.8%	45,417	32.9%
Debts issued and borrowings, net	33,352	33,851	-1.5%	39,874	-16.4%
Deferred revenue	18,908	19,233	-1.7%	218	N/A
Other liabilities	29,978	26,978	11.1%	29,010	3.3%
Total Liabilities	**754,016**	**742,857**	**1.5%**	**713,468**	**5.7%**
Equity attributable to equity holders of the Bank	89,856	87,714	2.4%	83,723	7.3%
Non-controlling interest	0	143	-100.0%	125	-100.0%
Total equity	**89,856**	**87,857**	**2.3%**	**83,848**	**7.2%**
Total liabilities and equity	**843,872**	**830,714**	**1.6%**	**797,316**	**5.8%**
Book value per share (Baht)	2.05	2.00	2.3%	1.91	7.1%

Note: Consolidated financial statements

Assets

As of Dec-17, total assets on consolidated basis amounted to THB843,872 million, an increase of 1.6% from Sep-17 (QoQ) and 5.8% rise from Dec-16 (YTD). Key items are as follows;

- Total loan to customers (less deferred revenue) rose further from the previous quarter by 3.9% to THB643,373 million, representing an 8.4% growth from Dec-16. (Details in the following section)
- Net interbank and money market items declined by 13.6% QoQ and 1.2% YTD to THB112,534 million, resulting from liquidity management.
- Net investments were THB61,305 million, rose by 1.6% QoQ but dropped 2.7% YTD.
- Net properties for sale was THB2,214 million which increased by 5.9% QoQ and 47.0% YTD. (Details in the following section)

Total loans

Total loan rose 3.9% QoQ and 8.4% YTD growth

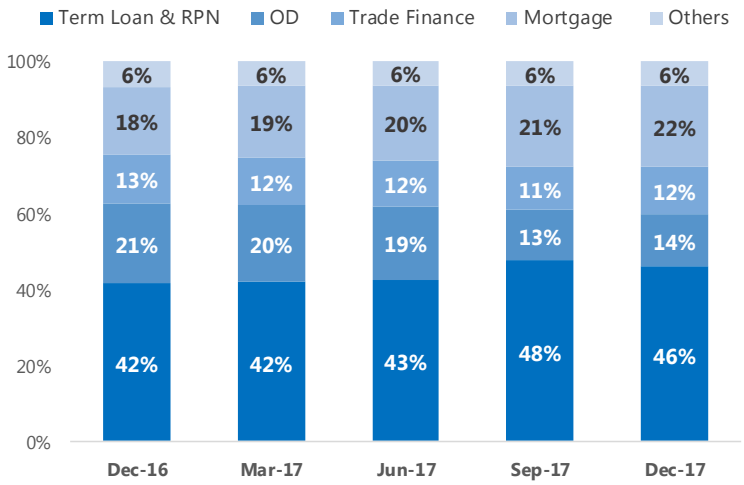
On consolidated basis: As of Dec-17, TMB recorded total loans to customers (less deferred revenue) on consolidated basis of THB643,373 million, an increase of 3.9% QoQ and 8.4% YTD.

On bank-only basis: Total loans amounted to THB643,325 million which also rose 3.9% QoQ and 8.4% YTD. In terms of key products, 46% of total loan was term-loan & RPN; followed by mortgage of 22%, working capital (OD) of 14% and Trade Finance of 12%.

Details of total loan (bank-only) composition are as followed;

- Performing loans was recorded at THB625,852 million which grew by 4.1% QoQ and 8.7% YTD.
- Non- performing loans (NPLs) was reported at THB17,473 million which declined by 2.9% QoQ and 0.5% YTD.

Figure 8: Total loan breakdown by products



Note: Exclude interbank, Bank-only financial statements

Figure 9: Total loan breakdown by loan type

(THB million)	Dec-17	Sep-17	Dec-16	%QoQ	% YTD
Performing loans	**625,852**	601,050	575,836	4.1%	8.7%
Non-performing loans	**17,473**	17,994	17,557	-2.9%	-0.5%
Total loan to customers	**643,325**	619,044	593,393	3.9%	8.4%

Note: Exclude interbank, Bank-only financial statements

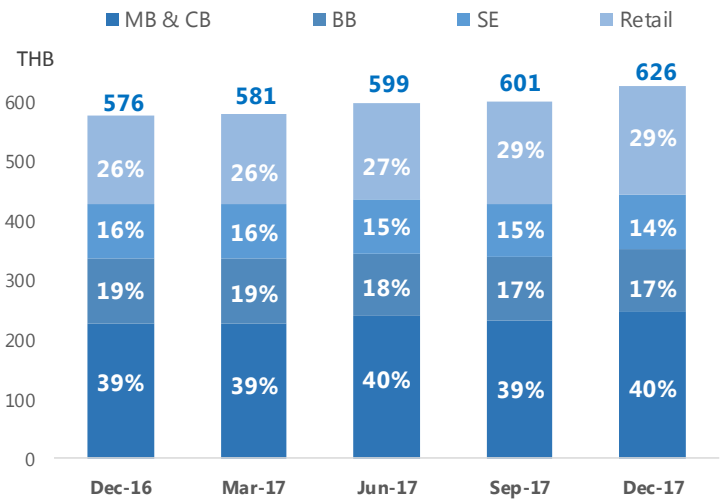
Performing loan

Performing loan continued its positive momentum with growth rates of 4.1% QOQ and 8.7% YTD. Details are as follows;

- Retail lending continued to grow by 4.8% QoQ and 23.5% YTD, driven mainly by mortgage loans.
- Corporate lending (MB and CB loans) grew by 6.3% QoQ and 9.8% YTD. SME (BB and SE loan) although declined 3.4% YTD, showed a recovery signs with 0.9% QoQ growth.

In terms of loan by customer segment, the mix slightly changed from Dec-16. As of Dec 17, MB and CB loan accounted for 40% of total performing loan. This followed by BB and SE of 31% and retail lending of 29%.

Figure 10: Performing loan breakdown by customer segment



Note: Bank-only financial statements

Definition of lending customer segments are as follows:

1) Commercial customers

Multi-Corporate Banking (MB): customer with annual sales volume more than THB5 billion
Corporate Banking (CB): customer with annual sales volume more than THB1 billion to THB5 billion
Business Banking (BB): customer with total annual sales volume more than THB100 million to 1 billion
Small Enterprise (SE): customer with annual sales volume up to THB100 million, including owner operators

2) Retails: Individuals

Asset Quality

Non-performing loan and NPL ratio

Under current economic conditions, the Bank has put priority on asset quality monitoring and continued to manage NPLs with prudence.

As of Dec-17, non-performing loans (NPLs) on consolidated basis was reported at THB17,521 million, dropped from THB18,041 million as of Sep-17 and THB17,605 million as of Dec-16. NPLs on bank-only basis was THB17,473 million; also decreased when compared with THB17,994 million as of Sep-17 and THB17,557 million as of Dec-16.

The Bank continued to proactively resolve NPLs through write-off as natural resolution remained slow. In the 4th quarter, the Bank further wrote off its NPLs by THB2.3 billion with an objective to reduce future downside risks and keep balance sheet clean.

Consequently, NPL ratio on consolidated basis reduced to 2.35% in Dec-17 from 2.44% as of Sep-17 and 2.53% as of Dec-16. Likewise, NPL ratio on bank-only basis was recorded at 2.34%, down from 2.44% as of Sep-17 and 2.52% as of Dec-16, respectively.

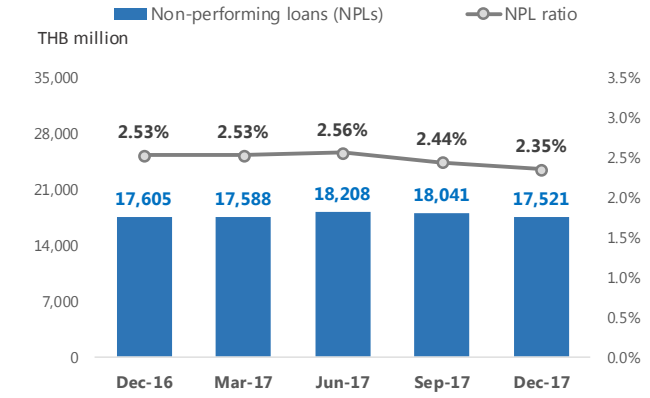
Allowance for loan losses

Coverage ratio remained high at 143%, reflected the Bank's prudent provisioning

As of Dec-17, allowance for doubtful accounts and revaluation allowance for debt restructuring was THB24,969 million on consolidated basis. The figure decreased by 1.7% QoQ and relatively stable YTD as the Bank continued to proactively resolve NPLs through write-offs to limit future downside risks.

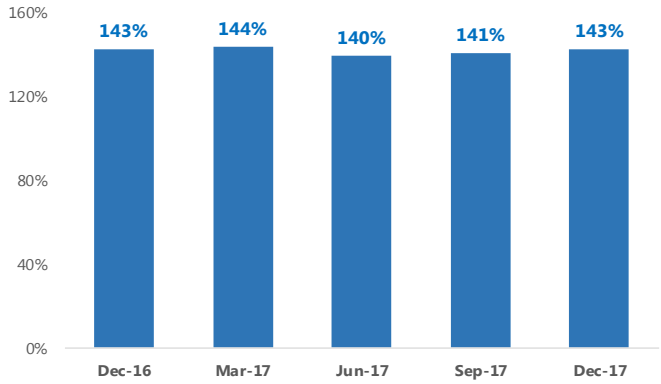
The ratio of allowance for loan loss to NPLs or coverage ratio remained high at 143% on both consolidated and bank-only basis. The coverage ratio was still in target range and TMB consistently maintained high coverage ratio as shown in chart below.

Figure 11: NPLs and NPL ratio



NPLs - classified as substandard, doubtful, and doubtful of loss
Note: Consolidated financial statement

Figure 12: Coverage ratio

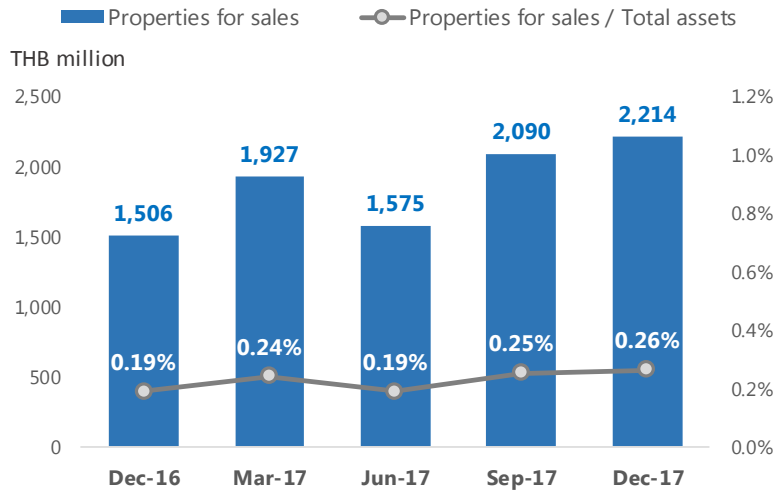


Note: Consolidated financial statement

Properties for sales

As of Dec-17, net properties for sale increased by 5.9% QoQ and 47.0% YTD to THB2,214 million. The ratio of properties for sale to total assets, however, remained relatively low at 0.26%, compared with 0.25% as of Sep-17. The change was still in line with business plan.

Figure 13: Properties for sales



Note: Consolidated financial statements

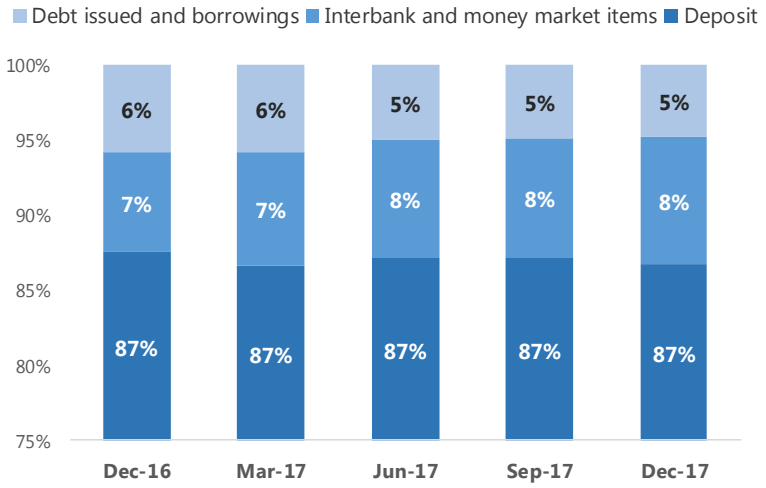
Liabilities

As of Dec-17, total liabilities on consolidated basis was reported at THB754,016 million which increased by 1.5% QoQ and 5.7% YTD. Details of key figures are as follows.

- Total deposits amounted to THB611,430 million, a 0.7% QoQ and 2.1 % YTD growth. (see details in following section)
- Net interbank and money market item increased by 8.8% QoQ and 32.9% YTD to THB60,349 million due to liquidity management.
- Borrowings declined by 1.5% QoQ and 16.4% YTD to THB33,352 million. (see details in following section)

Deposit was the largest composition of interest-bearing liabilities. As of Dec-17, deposits represented 87% of interest-bearing liabilities. This followed by interbank and money market items of 8% and debt issued and borrowings of 5%. The composition was relatively stable QoQ and YTD as shown in the chart below.

Figure 14: Interest-bearing liabilities breakdown



Note: Consolidated financial statement

Deposits

As of Dec-17, total deposits on consolidated basis were THB611,430 million which grew by 0.7% QoQ and 2.1% YTD, driven by mainly retail deposit. As TMB focused more on acquiring retail and transactional deposit base. Overall, it was on track, with retail deposit growth of 5.0% YTD and transactional deposit growth 3.7% YTD. The increase was in line with Bank's strategy to optimize deposit mix and volume.

Deposit breakdown by products

The Bank has continued to expand transactional deposit base as well as to strategically replace Time Deposit (TD) with superior No-Fixed and ME, together with converting TD to mutual funds. Overall, the deposit has expanded as planned.

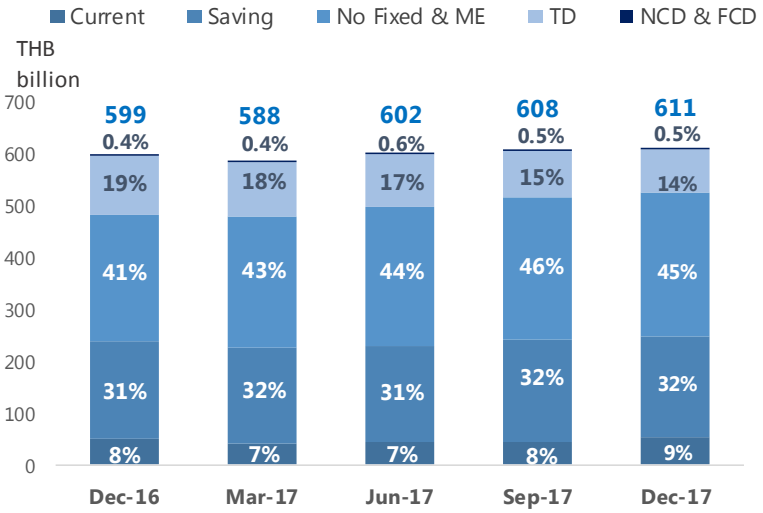
As of Dec-17, transactional deposit favorable grew on track, led by TMB All Free, flagship retail transactional deposit. TMB All Free continued to show its robust growth by 12.5% QoQ and 50.9% YTD. No-Fixed posted 2.1% QoQ and 16.2% YTD growth and ME slightly declined by 0.7% QoQ but maintained 6.0% YTD growth. TD dropped further by 7.3% QOQ and 28.0% YTD.

The ratio of transactional deposit (CASA-excluded No-Fixed and ME) to total deposit was reported at 40.4%, a slight increase compared with 39.7% as of Sep-17 and 39.8% as of Dec-16.

Deposit breakdown by segment

Retail deposits remained the largest portion of total deposits as the Bank continues to diversify away from concentration in large depositors. As of Dec-17, retail deposit accounted for 70% of total deposit and commercial deposit accounted for 30%, unchanged from Sep-17.

Figure 15: Deposit structure by products



Note: Bank-only financial statement
Remark: "TMB No Fixed" and "ME" are classified as savings account as they are not required to maintain minimum balance and have no restriction to term of deposit

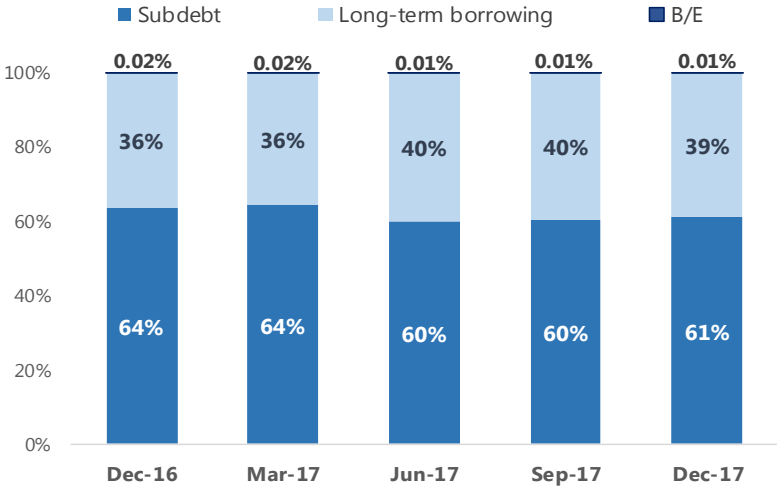
Borrowings

Borrowing decreased due to change in sub-debt

As of Dec-17, total borrowings of the Bank and subsidiaries declined by 1.5% QoQ and 16.4% YTD to THB33,352 million. The reduction was mostly from redemption existing sub-debt by THB10 billion and reissuance of sub-debt by THB5 billion in May.

In terms of borrowing structure, 61% was sub-debt. This followed by long-term borrowing of 39% and BE of 0.01%.

Figure 16: Borrowings breakdown



Note: Bank-only financial statements

Liquidity and loan to deposit ratio

Given the Bank's focus in building quality and stable funding through expanding transactional deposits, TMB has a strong liquidity position and has maintained high proportion of liquid and low-risk assets.

As of Dec-17, on consolidated basis, total liquid assets represented 18.1% of the total assets. The liquid assets consisted cash (2.1%), interbank & money market items (13.3%) and short-term investment (2.7%). In terms of loan to deposit ratio (LDR), the ratio, on consolidated basis, increased to 105% from 102% as of Sep-17 and 99% as of Dec-16, respectively.

Figure 17: Liquid asset allocation and loan to deposit ratio

Liquid assets	Dec-17	Sep-17	Jun-17	Mar-17	Dec-16
Cash	**2.1%**	1.7%	1.5%	1.7%	2.0%
Interbank and money market	**13.3%**	15.7%	12.4%	13.1%	13.9%
Short-term investment	**2.7%**	4.2%	3.8%	3.2%	2.7%
Liquid assets / Total assets	**18.1%**	21.6%	17.7%	18.0%	18.6%
Loan to deposit ratio (LDR)	**105%**	102%	103%	102%	99%

Note: Consolidated financial statement

Capital adequacy

As of Dec-17, the consolidated equity was THB89,856 million which rose by 2.3% from Sep-17 and 7.2% YTD from Dec-16 from profit generated during the period.

Maintain high capital ratios under Basel III

The Bank consistently ensures robust capital base. As of Dec-17, Capital Adequacy Ratio (CAR) of the Bank under Basel III calculation was at 17.3% while CET1 and Tier 1 ratios stayed at 13.2%. Such levels were well above the Bank of Thailand's minimum requirement (including conservation buffer) of 9.75%, 5.75% and 7.25% of CAR, CET 1 and Tier 1 capital ratio, respectively.

Figure 18: Capital adequacy ratio (CAR) and Tier 1 capital under BASEL III

(as % to risk-weight assets)	Dec-17	Sep-17	Jun-17	Mar-17	Dec-16
Capital Adequacy Ratio (CAR)	**17.3%**	17.9%	16.6%	18.2%	18.1%
Core Tier 1 Ratio (CET 1)	**13.2%**	13.6%	12.3%	12.8%	12.8%
Tier I Ratio (Tier 1)	**13.2%**	13.6%	12.3%	12.8%	12.8%

Note: Bank-only financial statement

Additional Information: Credit rating profile

Moody's		
	International rating	**Outlook**
Bank Deposits	Baa2/P-2	Stable
Baseline Credit Assessment	ba2	
Adjusted Baseline Credit Assessment	ba2	
Senior Unsecured	(P)Baa2	

Standard & Poor's		
	International rating	**Outlook**
Long-Term Counterparty	BBB-	Stable
Short-Term Counterparty	A-3	
Senior Unsecured	BBB-	
Stand-Alone Credit Profile (SACP)	bb+	

Fitch Ratings		
	International rating	**Outlook**
Long-Term IDR	BBB-	Stable
Short-Term IDR	F3	
Senior Unsecured	BBB-	
Viability Rating	bbb-	
Support Rating Floor	bb+	
Support Rating	3	
	National Rating	
Long-Term	A+ (tha)	
Short-Term	F1+(tha)	
Subordinated Debt	A (tha)	

Disclaimer

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